Cleveland Clinic

INTERNATIONAL & EMERGING MARKETS | ADVISORY PRODUCT PROFILE

Financial Performance Improvement & Profitability

Diagnostic that benchmarks financial performance, quantifies cost and revenue opportunities, and builds the cost accounting behind service line profitability.

CATEGORY	TYPICAL DURATION	DELIVERY MODEL	PRODUCT OWNER
Finance Advisory: Measure and Optimize Phases	4 to 8 weeks; 12 to 24 weeks with service line profitability	On-site, Hybrid, Workshop-based	IEM Finance Advisory Connected & Advisory Services

01 CLIENT NEED

Boards and executives facing margin pressure from rising labor, supply and operating costs need an objective view of where performance is falling short and why. Many organizations lack reliable benchmarks, consistent productivity measures or the cost accounting needed to know which procedures, patients and service lines generate or consume margin once direct and indirect costs are fully considered.

The offering spans the Measure and Optimize phases of the Cleveland Clinic Healthcare Financial Advisory Lifecycle, which answer the client questions "How are we performing?" and "How do we become best-in-class?" It is typically requested by organizations facing margin pressure, from growing providers with limited performance data to mature health systems pursuing sustained margin improvement.

02 CLEVELAND CLINIC VALUE PROPOSITION

Cleveland Clinic brings an operator's understanding of what drives financial performance in healthcare, from revenue mix and cost structure to productivity, cost allocation and service line management. Our advisors focus on opportunities that are achievable without compromising quality of care.

Findings are practical and prioritized, reflecting Cleveland Clinic's experience balancing financial sustainability with clinical excellence, and clients gain the cost and profitability foundations needed to sustain improvements over time.

03 KEY DELIVERABLES

- Current-state financial performance assessment with KPI review and the key drivers of results
- Financial and productivity benchmarking against peer and internal standards, with variance commentary
- Cost optimization analysis with quantified, prioritized savings estimates
- Revenue enhancement assessment covering payer mix, service mix, pricing and capture
- Operational performance review of finance-related operating enablers
- Cost accounting framework with allocation rules for direct, indirect, fixed and variable costs, and supporting governance
- Service line profitability model and margin analysis by service line
- Improvement roadmap and action plan with owners, plus an executive summary of findings and recommendations

04 DELIVERY MODEL

On-site / Hybrid / Workshop-based

The engagement begins with a structured data request, a review of current financial results, cost data and operating processes, and interviews with finance, operational and clinical leaders. Analysis is completed through regular virtual working sessions, with on-site discovery added when cost accounting or service line profitability is in scope. Findings are validated with clinical and finance leaders before a final executive readout and improvement roadmap.

05 TYPICAL DURATION

4 to 8 weeks; 12 to 24 weeks with service line profitability

Typically delivered in three phases: data collection and current-state assessment; analysis, benchmarking and opportunity sizing; improvement roadmap and executive readout. A focused performance, cost or revenue diagnostic runs 4 to 8 weeks. Adding cost accounting implementation and service line profitability extends the engagement to 12 to 24 weeks, depending heavily on data availability.

06 RESOURCE REQUIREMENTS

07 EXPECTED OUTCOMES

- Fact-based view of current financial performance and its drivers

- Objective comparison against relevant benchmarks, with targeted opportunities where performance lags
- Quantified and prioritized cost and revenue opportunities, with owners for the highest-value actions
- Reliable, defensible cost information by service and patient
- Clear view of margin by service line to guide investment and optimization decisions
- Foundation for sustained margin improvement and enterprise performance management

08 PRODUCT OWNER

IEM Finance Advisory
Connected & Advisory Services
Cleveland Clinic International & Emerging Markets